

I learned the danger in selling expensive stocks just because they are overpriced and buying value stocks just because they are underpriced. Pricey stocks are always 30 percent pricier than they should be because people are willing to own them at 30 percent above what they should own them at. A good growth stock is always overvalued, and a lousy company is always undervalued. That is the danger of buying value stocks. Until you get the turn where the market recognizes an improvement in the business model, they are always going to be undervalued. If you are going to short a growth stock because it is 30 percent overvalued, it is going to grow for the next five years always being 30 percent overvalued—until it finally breaks, and by that time, you are probably not going to be there.

Why do you believe you have done so well?

One reason that I have done well is the evolution of information flow in the marketplace. When the SEC adopted fair disclosure in 2000, it meant that company conference calls had to be open to everyone. Information could no longer be controlled by the large brokerage firms who then funneled it out to the public. I am not an expert on everything. When you listen to a conference call, you hear what the analysts' questions are, and the analysts generally know a lot more about the company than I do. When analysts key in on certain things, it tells you what they think is important.

Can you give me examples of conference calls you listened to that directly led to trades?

We shorted Citigroup at \$48 in 2008 before it crashed. Why did we go short? The earnings report had come out for Citigroup, and the stock was down \$2. That was a really big move for Citigroup. So I decided to listen to the conference call. I understood banks in terms of their basic business, but I didn't understand anything that was said about CDOs or anything else to do with mortgage-backed securitizations. But the key thing I realized from the call was that not a single analyst understood it, either. You could tell from their questions that they didn't know what was going on, and confusion is opportunity. So I went short the stock.

Any other examples?